What Happens When Cheap Gets Cheaper

Weekly Note 11.5.26



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“No matter how sophisticated our choices, how good we are at dominating the odds, randomness will have the last word.”

- Nassim Taleb | Fooled By Randomness

Happy Friday. One of my favorite books on markets is ‘Fooled by Randomness’ by Nassim Taleb. It’s one that is designed to call out what we think we know. In the book, he tells the story of a bond trader named Carlos. Carlos’ strategy when it came to buying bonds was to buy the dip, and he would then hold the bonds as more money flowed into whatever government had issued them.

It worked from 1992 to 1998, and then it stopped working. When Russian bonds collapsed in the summer of 1998, Carlos bought more, the way he always had. Then they kept falling. He had made $80 million over the prior years and lost $300 million in one summer.

Taleb claims that Carlos was never a good bond trader and most of it was just luck and circumstance. Carlos was so sure his **process** was the reason that he was successful that even as the bond market crashed in the late 90s he kept buying and kept losing. Until he was eventually fired

and the board of the company had to start asking why the heck they were so exposed to a country that couldn't afford to pay its military.

For Carlos, the market the entire time was 'wrong' and he was right. Why wouldn't he be? Look at his record.

His success was the reason he couldn't see the shift.

Now, I have no idea if Carlos was a real person or someone that Taleb made up to illustrate his point, but nonetheless how about we do our best NOT to be like Carlos.

So, this is my analysis of how not to be Carlos depending on what you've done so far. Commodity markets have been in liquidation territory and charts have offered a few buying levels which have since fallen. In some markets more than others. As always, nothing you read here should be executed without consulting someone who knows you and your circumstances.

✔ Subscribed

Corn

Everyone is a genius in a bull market. Not everyone can handle the bear.

ZCH7 ~ Weekly



The March 2027 Corn contract has almost retraced its entire 2026 move and appears as though it may hit the low at 441.

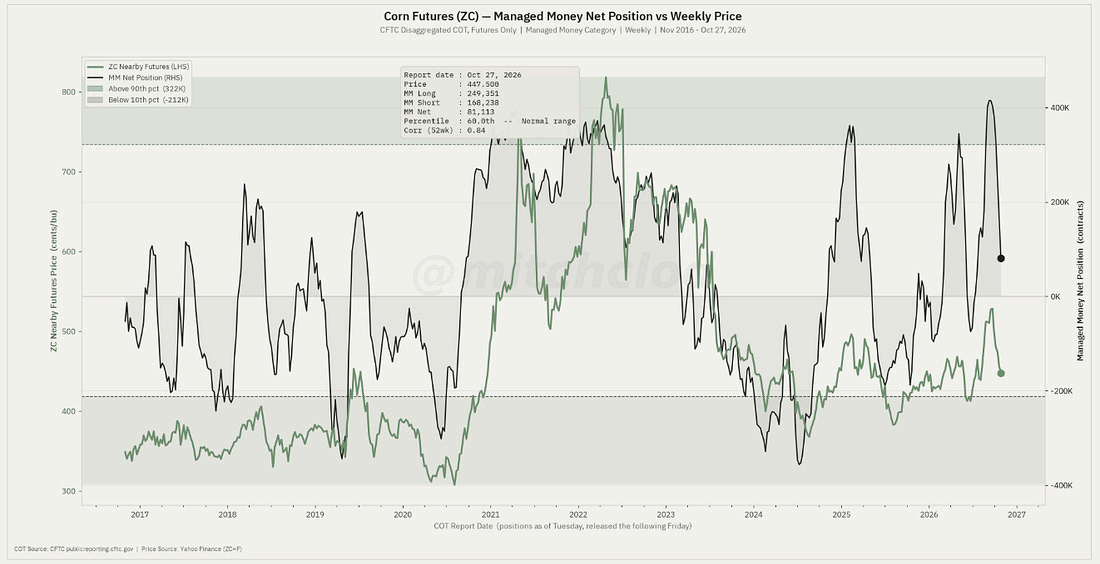
I, like many in the industry have suggested owning calls as corn has fallen the last few weeks if you were unsatisfied with your sales. I feel I was pretty explicit about giving yourself time on those options and keeping the risk defined, but nonetheless. If you're one who owns calls right now you may be kicking yourself. I would say don't. You only risked what you were willing to lose did you not? I certainly hope so. If you want to own more of your bushels back then congratulations you can own them even cheaper now.

If you own what you want to but are considering buying more because it is indeed cheaper then I would tell you 'Don't be like Carlos.' Give yourself and the position time. You obviously did what you did for a reason.

Just as it was when we were overbought, it is as we are oversold. Acceleration. Managed money is heading for an even position.

I will not pretend to know when the market bottoms. I can look at option premiums all night and develop a bias, but I will not. I am simply

recognizing that there has for whatever reason been a shift in market sentiment. My options are either to add to a position assuming “I’ll be more right later once it bounces” or be content with where I am at. The market will be there.



This is easy for me to say from a long options standpoint. It is not so easy for me to advise a person long futures to ‘Just hold on!’ No. That is a different conversation entirely. If that is you, reach out to the contact information at the bottom of this article. I can’t magically make it as though it never happened, but I can give some ideas.

Soybeans

January Soybeans ~ Daily



Say the same thing long enough and you're bound to be correct. There were chart and fundamental reasons that I did not like soybeans and chose to stay away from them. So far that has worked.

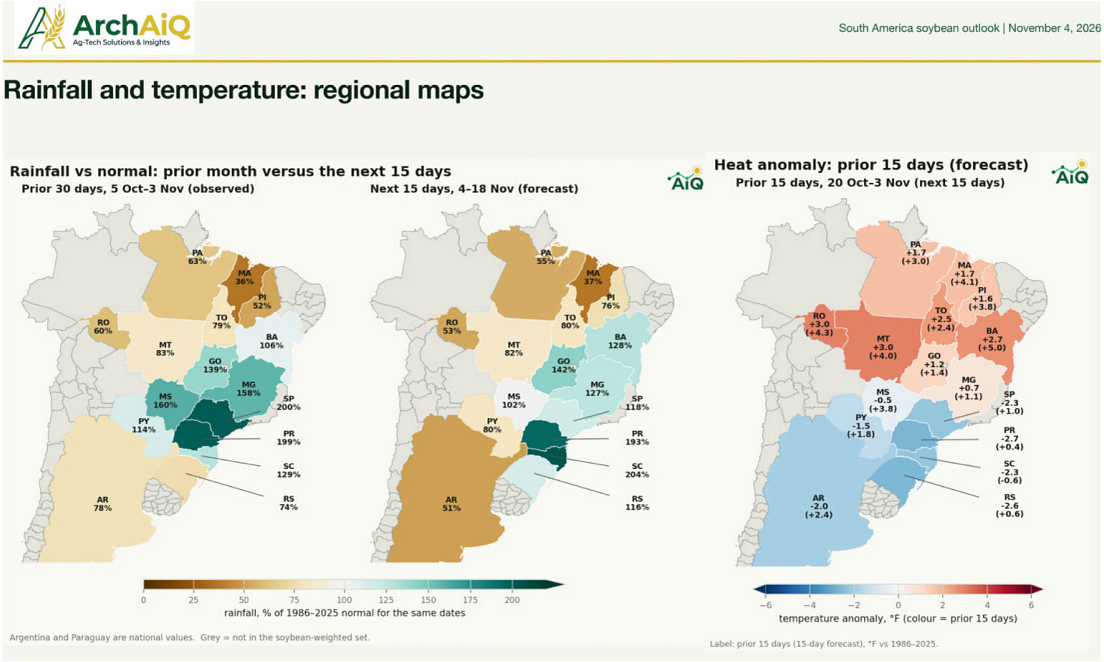


There is trend line support here on a weekly chart. Failure most likely looks like a regression to the weekly Bollinger Band and Keltner Channel bottoms at ~ 1130. We have not touched both those bands at once since September of 2024.

XF Soybean Spread ~ Daily



The nearby soybean spread has firmed into delivery, most likely to pull out cash. I have a hunch that not enough soybeans were priced at early harvest levels.



Source: ArchAIQ.com

Brazilian rainfall has been dry and planting progress is coming along nicely. Good for planting. Bad in a month. This is one to watch from a US price standpoint. Notice though those are percentages of normal rainfall. I once listened to a weather presenter state that they could get half normal rainfall and still raise a bean crop from an ‘inches needed’ standpoint. They do not need US level rainfall in relation to normal. Which is why I always caution the ‘beans in the teens’ crowd.

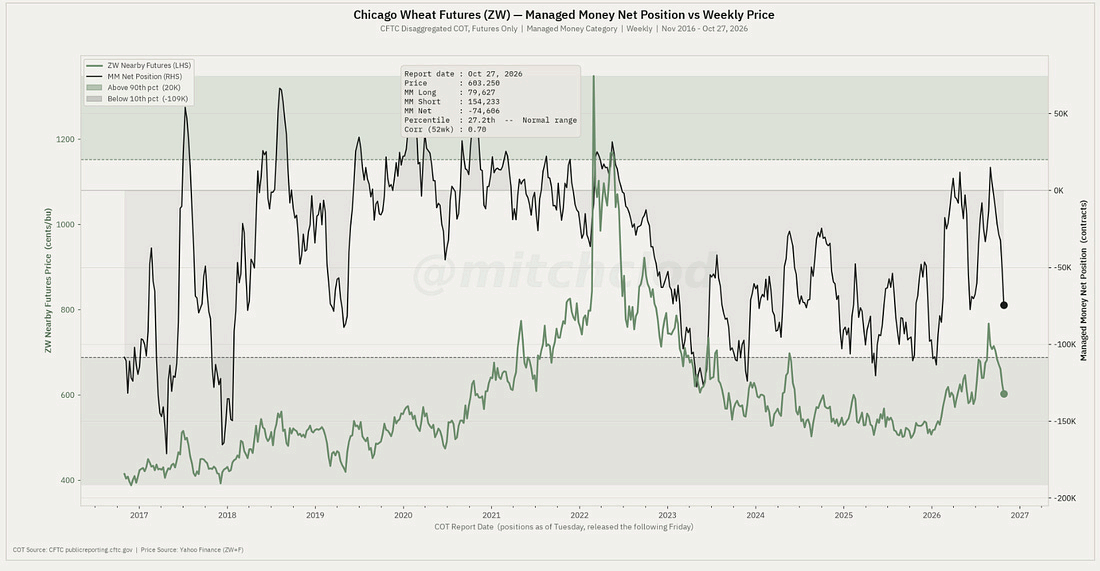
Not saying that it will never happen. Just that when it does maybe take advantage of it.

Wheat

March 27′ Wheat ~ Daily



Wheat is another one that will either will break peoples hearts or be a hell of a trade. It’s been a heartbreaker thus far.



It seems like the fund wheat position had the potential to get to record like corn and beans but managers ran out of ammo. Now the price is getting smoked while they liquidate.



That weekly chart says a lot. We’re back around the 200 week moving average in nearby wheat, and its not holding so far. The bands are not

near as tight as they were last year, but as we will see below that bands aren't everything. What does price mean for you today? That is all we can do.

Lean Hogs

Being completely transparent the hogs are what prompted the title and introduction to this article. It's remarkable. Pork is pricing its demand right now, and its demand is low. The consumer can't be paid to buy pork, even though it is among the cheapest proteins at the grocery store in many areas at a time where beef prices are criminal.

Maybe they should start running 'The other white meat' campaigns again? OR my personal favorite:



I digress.

Lean Hogs ~ Weekly Nearby



It has been full on panic mode the last few weeks for the hog market. The next weekly support levels are ~$47 and ~$43.

Feb Lean Hogs ~ Daily

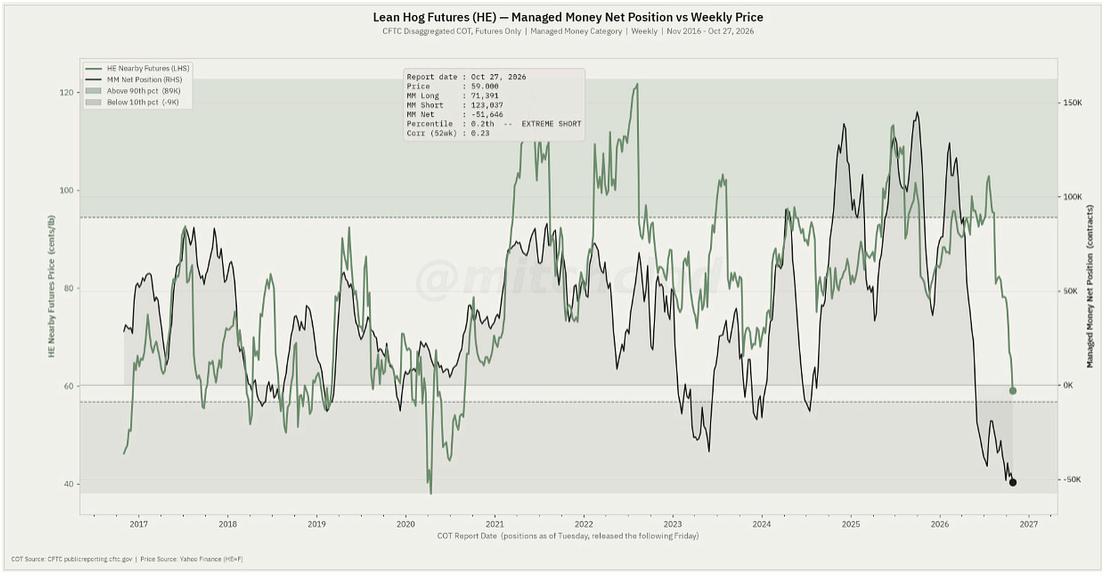


The daily charts show us absolutely nothing other than that we are finally in oversold RSI territory.

Lean Hogs ~ Monthly



The monthly charts shows similar support lines. A truly remarkable selloff. Managed money is content to keep getting shorter.



Conclusion

This is where we come back to Carlos. Carlos would see how cheap everything is here and say “Wow it just **has** to bounce here, these things are too dang cheap I know they are.” and he would buy more.

Will those that didn’t buy at these levels be the guys who missed the party? Or is the market trying to tell us something bigger? There is no way of knowing.

The only thing we can do is trade our process and decide what price means for us. If anything I said resonated or you’d like to talk through a situation reach out to my direct at 815.626.0883 or email me at mitch.clod@wicllc.org. The CFTC charts and all your USDA information can be found at wicllc.org.

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